

place to pay the *joint* debts at the expiration of a year from the date of the assignment, and then as to a moiety to pay the *separate* debts of A., and at the end of a year sufficient assets were realised to have discharged the joint debts, but the money, instead of being so applied, was invested in the funds and the interest accumulated, it was held, that as the fund applicable to the payment of the joint debts had been making interest from the time the debts should have been paid, the joint creditors, though on simple contract, were entitled to interest at 4 per cent. before the separate creditors were paid their principal. The separate creditors would otherwise try to impede the general \*settle- [\*527] ment, in order that, in the meantime, they might enjoy the interest from the joint creditor's fund (a).

4. **Creditors may stipulate for interest.** — The creditors may stipulate for payment of interest, or the settlor, if so minded, may insert such a direction (b). But a trust for payment of specialty and simple contract debts and *all interest thereof*, will not amount to such a direction, but the words will be taken to have reference to the debts carrying interest of their own nature (c).

5. **Specialty debts.** — *Specialty debts*, though actually released by a creditors' deed will carry interest up to the *time of payment*. It might be urged, indeed, that as regards specialty debts the amount of the debt is the principal and interest; and therefore in a trust for payment of debts interest as well as principal must be taken into calculation to ascertain what the debt is at the date of the deed or the death of the testator; but that interest ought not to run beyond the date of the trust deed or the death of the testator, for that principal and interest together are then regarded as one sum, not as a debt but the *claim* of a *cestui que trust*. And some principle of this kind appears to have been acted upon in the case of *Car v. Burlington* (d), where a person vested estates in trustees upon trust to pay all such debts as

(a) *Pearce v. Slocombe*, 3 Y. & C. 84.

(c) *Tait v. Northwick*, 4 Ves. 816.

(b) See *Bath v. Bradford*, 2 Ves. 588; *Barwell v. Parker*, Ib. 364; *Stewart v. Noble*, Vern. & Scriv. 536.

(d) 1 P. W. 228, as corrected in Cox's ed. from Reg. Lib.